

Week ending: 17th May 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day & 182-day** were undersubscribed recording **35.71%** and **28.86%** respectively, while the **364-day** was oversubscribed recording **222.62%**. The CBK accepted KES **1.40B**, **2.86B** and **16.20B** respectively of the bids for the **91-day, 182-day,** and **364-day** T-bills on offer accepting a total of **20.45B.**

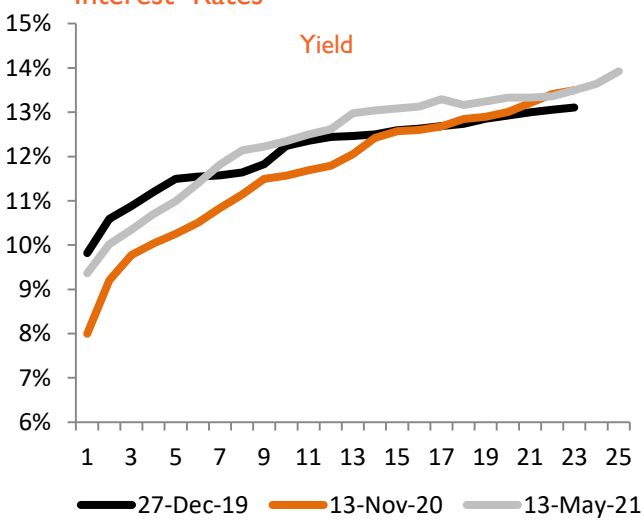
The Central Bank of Kenya opened a tap sale on fixed bonds **FXD2/2019/15-(13yr)** and **FXD1/2021/25-(25yr)** that was offered on a **first-come-first-serve** basis in a bid to raise **20Bn**. The tap sale was oversubscribed with CBK accepting **KES 20.69Bn** of the total **KES 20.93Bn** received. The coupon rates for the bonds were **12.734%** and **13.924%** for the **FXD2/2019/15** and **FXD1/2021/25** respectively.

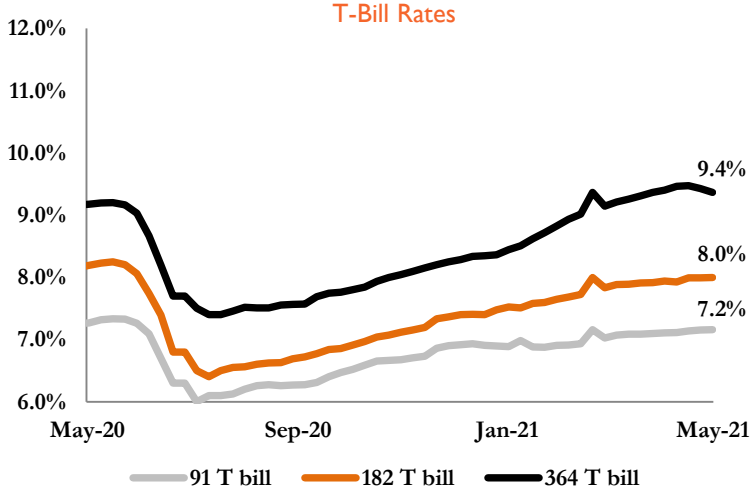
Key Indicators

	Current	Previous	% Change
91- Day	7.16%	7.15%	0.01%
182-Day	8.00%	7.99%	0.01%
364-Day	9.37%	9.42%	-0.06%
Interbank Rate	4.97%	3.61%	37.67%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (April)	5.76%	5.90%
Private sector credit growth (February)	9.70%	9.30%
Money Supply (February)	12.40%	13.20%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the greenback this past week depreciating by **0.15%** to trade at **KES 107.02.** The CBK's usable forex reserves currently stands at **USD 7,594 million (4.64** months of import cover**)** as at May 13th, a **0.25%** increase from **USD 7,575 million (4.63** months of import cover**)** as at May 6th.

Inflation

In April, Headline inflation decreased to **5.76%** from **5.90 %** in March. The CPI increased by **0.82%** from **113.81** in March to **114.75** in April. This decrease was driven by the lower food and fuel inflation compared to the previous month. Meanwhile, the food and alcoholic beverages index increased by **1.73%** due to the increase in prices of select food items. Headline inflation is likely to increase marginally on the back of higher food and fuel prices.

GDP growth

Growth receded by **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.